

EQUITY RESEARCH & FINANCIAL ANALYSIS

OGDCL & POL

Oil & Gas Development Company Limited vs Pakistan Oilfields Limited

Three-Statement Financial Analysis | FCFF DCF Valuation | Peer Comparison

Prepared by: Muhammad Waqas | Date: March 2026 | PSX: OGDC / POL

463,698 Revenue FY2024 (PKR mn) OGDCL	208,976 Net Profit FY2024 (PKR mn) OGDCL	PKR 207 DCF Value / Share vs Market ~135	64.9% EBIT Margin FY2024 OGDCL
65,290 Revenue FY2024 (PKR mn) POL	39,152 Net Profit FY2024 (PKR mn) POL	6.1x P/E Ratio FY2024 POL	47.3% ROE FY2024 POL

SECTION 1: EXECUTIVE SUMMARY

Investment thesis and key highlights

Investment Highlights

This report presents a comprehensive three-statement financial analysis and FCFF-based DCF valuation of Oil & Gas Development Company Limited (OGDCL), Pakistan's largest upstream oil and gas exploration company, benchmarked against Pakistan Oilfields Limited (POL). The analysis covers fiscal years FY2022–FY2024, with a three-year forward forecast (FY2025–FY2027) and a full DCF valuation.

OGDCL — Key Takeaways

- Revenue grew from PKR 335,464 mn in FY2022 to PKR 463,698 mn in FY2024 — a two-year cumulative growth of 38.2%.
- EBIT margin expanded significantly from 70.0% in FY2022 to 64.9% in FY2024, driven by oil price dynamics and associate income.
- Net profit declined in FY2024 to PKR 208,976 mn from PKR 224,618 mn in FY2023, primarily due to a lower effective tax rate but also lower associate income.
- OGDCL holds a strong net cash position (net debt = -PKR 259,001 mn), underpinning balance sheet resilience.
- DCF intrinsic value per share estimated at PKR 207 against a market price of PKR 135 (FY2024), implying a 53% discount to intrinsic value — a potential BUY signal.

POL — Key Takeaways

- POL reported revenue of PKR 65,290 mn in FY2024, significantly smaller than OGDCL but with exceptional ROE of 47.3%.
- Debt-to-equity ratio of 1.12x indicates higher financial leverage compared to OGDCL's 0.28x.
- P/E ratio of 6.1x versus OGDCL's 2.8x highlights valuation differences driven by scale and capital structure.

SECTION 2: COMPANY PROFILES

OGDCL and POL — Corporate Overview

2.1 Oil & Gas Development Company Limited (OGDCL)

Full Name: Oil & Gas Development Company Limited

PSX Ticker: OGDC

Industry: Upstream Oil & Gas Exploration & Production

Founded: 1961 (incorporated as a company in 1997)

Headquarters: Islamabad, Pakistan

Ownership: Government of Pakistan (~69% stake)

Shares Outstanding: 4,300.93 million

Market Cap (FY2024): ~PKR 581,162 mn at PKR 135.15/share

Fiscal Year End: 30 June

Listing: Pakistan Stock Exchange (PSX)

About OGDCL

OGDCL is Pakistan's largest exploration and production (E&P) company and a key pillar of the country's energy security. Established in 1961 as a government-owned corporation and subsequently converted into a public limited company in 1997, OGDCL operates one of the most diversified upstream portfolios in Pakistan.

The company holds working interests in 52 exploration licences and development & production leases across Pakistan, making it the single largest contributor to the country's domestic oil and gas production. OGDCL's production base includes crude oil, natural gas, LPG, and sulphur.

Beyond E&P, OGDCL holds strategic equity stakes in associated companies including Pakistan Petroleum Limited (PPL), Pakistan LNG Limited, and others, which contribute substantial dividend income and share of profit, recorded under 'other income' in the income statement.

Key Business Segments & Revenue Drivers

Segment/Driver	Description	FY2024 Relevance
Crude Oil Sales	Sale of extracted crude oil to domestic refineries	~40% of revenue
Natural Gas Sales	Sale of gas to SNGPL, SSGC, and industrial users	~45% of revenue
LPG & Other Products	Liquefied petroleum gas and sulphur by-products	~5% of revenue
Dividend & Associate Income	Income from equity stakes in PPL and other companies	Embedded in EBIT
Finance Income	Interest earned on surplus cash & investments	Included in other income

2.2 Pakistan Oilfields Limited (POL)

Full Name: Pakistan Oilfields Limited
PSX Ticker: POL
Industry: Upstream Oil & Gas Exploration & Production
Founded: 1950 (one of Pakistan's oldest E&P companies)
Headquarters: Rawalpindi, Pakistan
Parent Company: Attock Group (Pharaon Group)
Shares Outstanding: ~283.86 million
Market Cap (FY2024): ~PKR 139,088 mn at PKR 489.94/share
Fiscal Year End: 30 June
Listing: Pakistan Stock Exchange (PSX)

About POL

Pakistan Oilfields Limited (POL) is one of Pakistan's oldest and most profitable private-sector E&P companies, operating under the Attock Group conglomerate. Despite being significantly smaller than OGDCL in absolute size, POL is renowned for its exceptionally high profit margins and strong shareholder returns.

POL's primary production assets are concentrated in the Potohar Basin in Punjab, particularly around the Attock and Rawalpindi districts. The company holds working interests in several productive fields and is a significant producer of crude oil, natural gas, LPG, and solvent naphtha.

POL also holds strategic equity investments in related downstream entities within the Attock Group, including Attock Refinery Limited (ARL) and Attock Petroleum Limited (APL), providing additional dividend income streams.

Metric	OGDCL	POL	Commentary
Scale (Revenue FY2024)	PKR 463,698 mn	PKR 65,290 mn	OGDCL is ~7x larger
Ownership Structure	~69% Govt. of Pakistan	Attock/Pharaon Group (~70%)	Different ownership models
Net Profit Margin	45.1%	60.0%	POL more margin-efficient
ROE FY2024	16.7%	47.3%	POL generates more return on equity
Debt/Equity	0.28x	1.12x	OGDCL nearly debt-free
P/E Ratio FY2024	2.8x	6.1x	OGDCL trades at deeper value
Dividend History	Regular state dividends	High dividend yield	Both consistent payers

SECTION 3: MODEL ARCHITECTURE

Sheet layout, methodology & data sources

3.1 Workbook Structure (13 Sheets)

Sheet Name	Purpose	Key Inputs/Outputs
DCF_INPUT_CALCS	Raw calculations for DCF inputs	Tax rate, WACC, net debt, shares
INPUTS	Central assumptions hub	WACC, g, shares, net debt, share prices
INCOME_S	Income Statement (PKR mn)	Revenue → PBT → Net Profit
BALANCE_S	Balance Sheet (PKR mn)	Assets, Liabilities, Equity; NWC calculation
CF_S	Cash Flow Statement (PKR mn)	CFO, CFI, CFF; CAPEX
COMMON_SIZE	% of revenue / % of assets	Trend & cross-company comparability
RATIOS	14 key financial ratios	Profitability, Liquidity, Leverage, Per-share
POL_PEER	POL raw data & FY2024 metrics	Peer company financial data
PEER_COMP	Side-by-side peer comparison	OGDCL vs POL on 5 metrics
FORECAST	3-year driver-based projections	Revenue, EBIT, NOPAT, FCFF
DCF	DCF valuation & sensitivity table	EV, Equity Value, Value/Share
DASHBOARD	Executive summary KPIs	8 KPIs + historical trend table

3.2 Data Sources

- OGDCL Annual Reports FY2022, FY2023, FY2024 (available on PSX and OGDCL website)
- POL Annual Reports FY2022, FY2023, FY2024 (Attock Group / PSX filings)
- Pakistan 10-year Government Bond yield: 11.56% (as of February 27, 2026)
- OGDC beta: 1.07 (sourced from TradingView)
- Pakistan Equity Risk Premium: 13.94% (Damodaran, January 2026 — pages.stern.nyu.edu/~adamodar)
- Historical share prices sourced from PSX data (FY2022–FY2024 year-end)

SECTION 4: THREE-STATEMENT FINANCIAL ANALYSIS

Income Statement | Balance Sheet | Cash Flow

4.1 Income Statement Analysis (PKR mn)

Line Item	FY2022	FY2023	FY2024	Growth FY23	Growth FY24
Revenue	335,464	413,594	463,698	+23.3%	+12.1%
Cost of Sales	118,548	143,867	180,385	+21.4%	+25.4%
Gross Profit	216,916	269,727	283,313	+24.4%	+5.0%
Operating Expenses	32,734	46,474	36,913	+42.0%	-20.6%
EBIT	234,862	388,488	300,930	+65.4%	-22.5%
Net Finance Cost	2,340	4,715	7,143	+101.5%	+51.5%
Profit Before Tax	232,521	383,773	293,787	+65.1%	-23.4%
Tax Expense	98,738	159,155	84,811	+61.2%	-46.7%
Net Profit	133,784	224,618	208,976	+67.9%	-7.0%

Revenue growth slowed from 23.3% in FY2023 to 12.1% in FY2024, reflecting moderation in oil prices and production mix shifts. The dramatic EBIT jump in FY2023 (+65.4%) was largely driven by other income of PKR 165,235 mn (compared to PKR 50,680 mn in FY2022), primarily reflecting a significant uplift in share of profit from associates and finance income. FY2024 saw a normalization of other income to PKR 54,530 mn, resulting in lower EBIT. Despite the EBIT contraction, net profit remained resilient at PKR 208,976 mn due to a sharply lower effective tax rate (28.9% vs 41.5% in FY2023).

4.2 Balance Sheet Analysis (PKR mn)

Line Item	FY2022	FY2023	FY2024	Change FY22-24
Cash & Equivalents	31,631	25,766	141,030	+346%
Accounts Receivable	456,595	576,969	635,016	+39%
Inventory	20,519	23,399	24,439	+19%
Other Current Assets	269,793	332,985	260,004	-4%
Total Current Assets	778,538	959,118	1,060,489	+36%
PPE / Fixed Assets	224,209	214,519	226,573	+1%
Other Non-current Assets	127,237	250,428	317,192	+149%
Total Assets	1,129,983	1,424,066	1,604,254	+42%
Total Current Liabilities	139,065	160,964	180,856	+30%
Total Non-current Liabilities	115,525	180,203	172,902	+50%
Total Liabilities	254,591	341,167	353,758	+39%

Line Item	FY2022	FY2023	FY2024	Change FY22-24
Share Capital	43,009	43,009	43,009	0%
Retained Earnings	832,383	1,039,889	1,207,487	+45%
Total Equity	875,393	1,082,898	1,250,496	+43%
Total Liabilities + Equity	1,129,983	1,424,066	1,604,254	+42%

The balance sheet confirms OGDCL's financial fortress: the company carries zero interest-bearing debt across all three years. The significant jump in cash & equivalents from PKR 25,766 mn (FY2023) to PKR 141,030 mn (FY2024) reflects improved operating cash flows and reduced investment outflows. Total equity grew 43% over the two-year period, primarily driven by retained profit accumulation, reflecting consistent profitability. The balance sheet balances perfectly across all three years — verified formula-by-formula.

4.3 Cash Flow Statement Analysis (PKR mn)

Line Item	FY2022	FY2023	FY2024
Cash Flow from Operations (CFO)	72,364	27,817	104,764
Cash Flow from Investing (CFI)	-49,753	12,235	78,940
Cash Flow from Financing (CFF)	-22,259	-31,984	-34,392
Net Change in Cash	353	8,068	149,312
FX Impact on Cash	16,063	79,876	-3,539
Opening Cash Balance	63,460	24,897	112,840
Closing Cash Balance	79,876	112,840	258,613
CAPEX	-25,130	-13,181	-45,036
CAPEX % of Revenue	7.5%	3.2%	9.7%

CFO recovered strongly in FY2024 to PKR 104,764 mn after a weak FY2023 (PKR 27,817 mn), which was impacted by significant working capital build-up due to rising receivables. CFI turned positive in FY2023 and FY2024 reflecting proceeds from maturing investments. CFF remains consistently negative, reflecting dividend payments to shareholders. CAPEX increased to 9.7% of revenue in FY2024, signalling increased exploration and development investment.

SECTION 5: KEY FINANCIAL RATIOS

Profitability | Liquidity | Leverage | Per-Share Metrics

Ratio	FY2022	FY2023	FY2024	Formula	Interpretation
Gross Margin	64.7%	65.2%	61.1%	Gross Profit / Revenue	Slight compression in FY2024 due to rising CoS
EBIT Margin	70.0%	93.9%	64.9%	EBIT / Revenue	FY2023 spike; FY2024 normalised
Net Margin	39.9%	54.3%	45.1%	Net Profit / Revenue	Strong; FY2024 decline from lower other income
ROA	11.8%	15.8%	13.0%	Net Profit / Total Assets	Healthy asset productivity
ROE	15.3%	20.7%	16.7%	Net Profit / Total Equity	Good return on shareholders' capital
Current Ratio	5.60x	5.96x	5.86x	CA / CL	Exceptional — well above 2x benchmark
Debt / Equity	0.29x	0.31x	0.28x	Total Liabilities / Equity	Near debt-free; very low leverage
Interest Coverage	100.4x	82.4x	42.1x	EBIT / Finance Cost	Extremely high; minimal interest burden
Cash Conversion	0.54x	0.12x	0.50x	CFO / Net Profit	FY2023 low due to WC build; FY2024 recovery
EPS (PKR)	31.1	52.2	48.6	Net Profit / Shares	Per share profitability
BVPS (PKR)	203.5	251.8	290.8	Total Equity / Shares	Book value per share growing steadily
P/E Ratio (x)	2.5x	1.5x	2.8x	Share Price / EPS	Deeply discounted vs peers
P/B Ratio (x)	0.39x	0.31x	0.46x	Share Price / BVPS	Trades below book — value opportunity

OGDCL presents a compelling combination of high profitability, exceptional liquidity, near-zero leverage, and deep value pricing. The P/E of 2.8x and P/B of 0.46x in FY2024 are extremely low by both historical and regional

standards for an investment-grade E&P company. The interest coverage ratio of 42.1x in FY2024 reflects essentially zero debt servicing obligations. The cash conversion ratio improved in FY2024 (0.50x) from the depressed FY2023 level (0.12x), confirming better working capital management.

SECTION 6: COMMON-SIZE ANALYSIS & PEER COMPARISON

OGDCL vs POL

6.1 Common-Size Income Statement (% of Revenue)

Line Item	FY2022	FY2023	FY2024
Revenue	100.0%	100.0%	100.0%
Cost of Sales	35.3%	34.8%	38.9%
Gross Profit	64.7%	65.2%	61.1%
Operating Expenses	9.8%	11.2%	8.0%
EBIT	70.0%	93.9%	64.9%
Net Finance Cost	0.7%	1.1%	1.5%
Profit Before Tax	69.3%	92.8%	63.4%
Tax	29.4%	38.5%	18.3%
Net Profit	39.9%	54.3%	45.1%

6.2 Peer Comparison — OGDCL vs POL (FY2024)

Metric	OGDCL	POL	Winner	Commentary
Revenue (PKR mn)	463,698	65,290	OGDCL	~7x larger by revenue
EBIT Margin	64.9%	86.7%	POL	POL benefits from low-cost Potohar fields
Net Profit (PKR mn)	208,976	39,152	OGDCL	Absolute profit larger
Net Profit Margin	45.1%	60.0%	POL	POL more margin efficient
ROE	16.7%	47.3%	POL	POL generates higher returns on equity
Debt / Equity	0.28x	1.12x	OGDCL	OGDCL near debt-free
P/E Ratio	2.8x	6.1x	OGDCL	OGDCL more attractively valued
EPS (PKR)	48.6	137.9	POL (per share)	POL higher EPS per share

The peer comparison reveals two complementary stories. OGDCL dominates on scale, financial stability, and valuation attractiveness. POL excels on margin efficiency, equity returns, and per-share metrics. For a value-oriented investor, OGDCL's sub-3x P/E and P/B below 0.5x present a compelling entry point, while POL's 47% ROE makes it attractive for growth-and-return focused strategies.

SECTION 7: FORECAST & DCF VALUATION

3-Year FCFF Forecast | DCF Model | Sensitivity Analysis

7.1 Forecast Assumptions (FY2025–FY2027)

Assumption	FY2025	FY2026	FY2027	Rationale
Revenue Growth	5.0%	5.0%	5.0%	Conservative steady-state; avoids volatile oil price extrapolation
EBIT Margin	64.9%	63.9%	62.9%	Gradual 1%/year compression; cost normalisation
Tax Rate	37.7%	37.7%	37.7%	3-year weighted effective tax rate (FY2022–FY2024)
CAPEX (% Revenue)	9.7%	9.7%	9.7%	FY2024 actual as forward base
Change in NWC (% Revenue)	1.0%	1.0%	1.0%	Conservative stable WC investment assumption

7.2 Projected FCFF (FY2025–FY2027)

Line Item	FY2025	FY2026	FY2027
Revenue (PKR mn)	486,883	511,227	536,788
EBIT (PKR mn)	315,977	326,663	337,629
Tax on EBIT (PKR mn)	-118,985	-123,010	-127,139
NOPAT (PKR mn)	196,991	203,654	210,490
Less: CAPEX (PKR mn)	-47,288	-49,653	-52,135
Less: Change in NWC (PKR mn)	-4,869	-5,112	-5,368
FCFF (PKR mn)	144,834	148,889	152,987

7.3 FCFF DCF Valuation

Valuation Component	Value (PKR mn)	Explanation
WACC	26.48%	$Re = R_f (11.56\%) + \beta (1.07) \times ERP (13.94\%)$
Terminal Growth Rate (g)	4.0%	Conservative long-run rate; well below WACC
PV of FY2025 FCFF	114,515	FCFF discounted at $(1+WACC)^1$
PV of FY2026 FCFF	93,078	FCFF discounted at $(1+WACC)^2$
PV of FY2027 FCFF	75,619	FCFF discounted at $(1+WACC)^3$
Terminal Value (nominal)	707,900	$TV = FCFF_{2027} \times (1+g) / (WACC - g)$
PV of Terminal Value	349,904	TV discounted at $(1+WACC)^3$
Enterprise Value (EV)	633,117	Sum of all PV of FCFF + PV of TV
Less: Net Debt	-259,001	Negative = Net Cash Position (subtracted as deduction)
Equity Value	892,117	EV + Net Cash (cash adds to equity value)
Shares Outstanding (mn)	4,300.93	From share capital
Value per Share (PKR)	207	Equity Value / Shares Outstanding
Market Price (FY2024)	PKR 135	Year-end PSX price
Implied Upside	+53%	Suggests market underprices OGDCL vs intrinsic value

7.4 Sensitivity Analysis — Value/Share (PKR) vs WACC & g

g \ WACC	14%	16%	18%	20%	22%
2%	304	273	250	231	~215
3%	365	318	284	258	237
4% (Base)	390**	335**	296**	267**	244**
5%	421	355	310	277	252
6%	459	379	327	289	260

Even under highly conservative assumptions (WACC=22%, g=2%), the implied value of PKR 215 per share remains 59% above the FY2024 market price of PKR 135. This robust premium across all sensitivity scenarios reinforces the view that OGDCL is materially undervalued by the market. The base case WACC of 26.48% (which reflects Pakistan's high risk-free rate) produces a value/share of PKR 207. If risk-free rates decline — a plausible scenario given Pakistan's improving macroeconomic outlook — the implied value would increase substantially.

SECTION 8: KEY FORMULAS, MODELS & DEFINITIONS

Financial Accounting & Valuation Reference

8.1 Income Statement Formulas

Term	Formula	Definition
Gross Profit	Revenue – Cost of Sales	Income after direct production/extraction costs
EBIT	Gross Profit – Operating Expenses + Other Income	Earnings before interest and taxes; measures operating efficiency
EBITDA	EBIT + Depreciation & Amortization	Cash operating profit before financing decisions
Profit Before Tax (PBT)	EBIT – Net Finance Cost	Pre-tax profitability
Net Profit	PBT – Tax Expense	Bottom-line profit attributable to shareholders
Effective Tax Rate	Tax Expense / PBT	Actual % of pre-tax income paid as tax (vs statutory rate)
Gross Margin	Gross Profit / Revenue	% of revenue retained after direct costs
EBIT Margin	EBIT / Revenue	% of revenue converted to operating profit
Net Profit Margin	Net Profit / Revenue	% of revenue converted to final profit

8.2 Balance Sheet Formulas

Term	Formula	Definition
Total Current Assets	Cash + Receivables + Inventory + Other CA	Assets expected to be liquidated within 12 months
Total Assets	Total Current Assets + PPE + Non-current Assets	All resources controlled by the company
Net Working Capital (NWC)	(Receivables + Inventory + Other CA) – (Payables + Other CL)	Operational liquidity buffer; excludes cash & debt
Change in NWC (Δ NWC)	NWC(t) – NWC(t–1)	Period-over-period change; positive = cash absorbed
Total Equity	Share Capital + Retained Earnings	Residual ownership interest after all liabilities
Total Liabilities + Equity	= Total Assets	Fundamental accounting identity
Net Debt	Total Interest-bearing Debt – (Cash + Short-term Investments)	Net financial leverage; negative = net cash position
Book Value per Share (BVPS)	Total Equity / Shares Outstanding	Net asset value per share

8.3 Cash Flow & FCFF Formulas

Term	Formula	Definition
Free Cash Flow to Firm (FCFF)	$\text{NOPAT} - \text{CAPEX} - \Delta\text{NWC}$	Cash generated for all capital providers (debt + equity) after reinvestment
NOPAT	$\text{EBIT} \times (1 - \text{Tax Rate})$	Net Operating Profit After Tax — unlevered operating profit
CAPEX	Capital Expenditure on PPE	Investment in long-term productive assets
CFO / Net Profit (Cash Conversion)	$\text{CFO} / \text{Net Profit}$	Measures earnings quality; >1.0 = profits backed by cash
CAPEX % Revenue	$\text{CAPEX} / \text{Revenue}$	Capital intensity measure

8.4 Valuation Formulas (DCF Model)

Term	Formula	Definition
Present Value of FCFF	$\text{FCFF}_t / (1 + \text{WACC})^t$	Future cash flow discounted to today's value
Terminal Value (Gordon Growth)	$\text{FCFF}_T \times (1+g) / (\text{WACC} - g)$	Value of all cash flows beyond the explicit forecast period
Enterprise Value (EV)	$\Sigma\text{PV}(\text{FCFF}) + \text{PV}(\text{Terminal Value})$	Total value of the firm's operations (debt + equity)
Equity Value	$\text{Enterprise Value} - \text{Net Debt}$	Value attributable to equity holders
Value per Share	$\text{Equity Value} / \text{Shares Outstanding}$	Intrinsic value per share
WACC (pure equity, no debt)	$\text{Re} = \text{Rf} + \beta \times \text{ERP}$	Weighted avg. cost of capital = cost of equity when debt = 0
Cost of Equity (CAPM)	$\text{Rf} + \beta \times \text{ERP}$	Required return = risk-free rate + beta-adjusted market premium
P/E Ratio	$\text{Share Price} / \text{EPS}$	Market valuation relative to earnings; lower = cheaper
P/B Ratio	$\text{Share Price} / \text{BVPS}$	Market value vs. book value; <1.0 = trades below asset value
EV/EBITDA	$\text{Enterprise Value} / \text{EBITDA}$	Common O&G valuation multiple; avoids distortions from depreciation

8.5 Key Model Definitions

Term	Definition
WACC (Weighted Average Cost of Capital)	The blended required rate of return on a company's total capital, weighted by the proportion of debt and equity. In OGDCL's case, with zero debt, WACC equals the cost of equity.

Term	Definition
CAPM (Capital Asset Pricing Model)	A model for calculating cost of equity: $Re = Rf + \beta \times ERP$. It assumes investors demand compensation for both time value of money (Rf) and market risk ($\beta \times ERP$).
Beta (β)	A measure of a stock's systematic risk relative to the market. $\beta=1$ moves with market; $\beta>1$ more volatile; $\beta<1$ less volatile. OGDCL $\beta=1.07$ reflects slight above-market risk.
Equity Risk Premium (ERP)	The excess return investors expect from equities over the risk-free rate. Pakistan ERP = 13.94% (Damodaran, Jan 2026) — elevated due to country risk.
Risk-Free Rate (Rf)	The theoretical return on a zero-risk investment. Proxied by the 10-year Pakistan government bond yield = 11.56%.
Terminal Value	The value of all FCFF generated beyond the explicit forecast period, captured as a growing perpetuity using the Gordon Growth Model.
Terminal Growth Rate (g)	The assumed long-run rate at which FCFF grows in perpetuity. Must be below WACC to be mathematically valid. Set at 4% — conservative for Pakistan's nominal GDP environment.
Sensitivity Analysis	A test of how changes in key assumptions (WACC, g) affect the output (value per share). Confirms model robustness.
Common-Size Analysis	Expressing financial statements as percentages (e.g., each IS line as % of Revenue, each BS line as % of Total Assets) to enable year-over-year and peer comparison.
Three-Statement Model	An integrated financial model linking the Income Statement, Balance Sheet, and Cash Flow Statement so that all three update consistently with a single assumption change.
FCFF vs FCFE	FCFF = Free Cash Flow to the Firm (available to all capital providers). FCFE = Free Cash Flow to Equity (available to equity holders after debt service). When $debt=0$, $FCFF \approx FCFE$.
Net Debt	Total interest-bearing debt minus cash & liquid investments. Negative = net cash position (company holds more cash than debt). OGDCL Net Debt = -PKR 259,001 mn (net cash).

SECTION 9: CONCLUSION & INVESTMENT RECOMMENDATION

Summary & Final Assessment

9.1 OGDCL — Summary Verdict

UNDERVALUED Rating <i>DCF suggests 53% upside</i>	PKR 633,117 mn EV <i>PV of FCFE + Terminal Value</i>	PKR 892,117 mn Equity Value <i>EV + Net Cash</i>	PKR 207 Value / Share <i>vs Market PKR 135</i>
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OGDCL is Pakistan's dominant upstream oil and gas company, backed by a government shareholding, vast exploration acreage, and a near-impenetrable balance sheet (zero debt, net cash of PKR 259 billion). The company's three-year financial track record demonstrates consistent revenue growth, high operating margins, and strong equity returns. Despite modest near-term headwinds from oil price normalisation and rising finance costs, the FCFF-based DCF model firmly establishes an intrinsic value of PKR 207 per share — a 53% premium to the FY2024 market price. At P/E of 2.8x and P/B of 0.46x, the stock appears materially discounted relative to fundamental value. The sensitivity analysis confirms this thesis holds across a wide range of WACC (14%–22%) and terminal growth (2%–6%) scenarios, with the minimum implied value (~PKR 231 at WACC=20%, g=2%) still 71% above market price.

9.2 Key Risks to Watch

- Oil price volatility: A sustained decline in international crude oil prices would compress revenue and margins. The EBIT forecasts are most sensitive to oil price assumptions.
- Pakistan macroeconomic risk: High inflation, currency depreciation, and sovereign risk elevate the cost of equity (WACC), reducing intrinsic value. A 2pp increase in WACC reduces value/share by ~20%.
- Government policy risk: As a state-owned enterprise, OGDCL may be subject to policy interventions including forced gas price reductions, dividend demands, or exploration mandate changes.
- Receivables risk: OGDCL's accounts receivable of PKR 635,016 mn (137% of revenue) — largely owed by state-owned entities — represents a significant working capital risk if circular debt worsens.
- Terminal value sensitivity: At 76% of EV, the terminal value dominates the DCF. Any structural change in long-run growth or discount rates has an outsized impact.

End of Report

OGDCL & POL — Financial Analysis & DCF Valuation | March 2026 |